

25STCV20108 25STCV20108

County: los-angeles

Division: Civil Law and Motion

Department: 506

Hearing date: 2026-08-11

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Case Number: 25STCV20108 Hearing Date: August 11, 2026 Dept: 506

SUPERIOR

COURT OF THE STATE OF CALIFORNIA

FOR THE

COUNTY OF LOS ANGELES - CENTRAL DISTRICT

JERALD KEITH SIMPKINS,

Plaintiff,

vs.

FCA US LLC, et al.,

Defendants.

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CASE NO.: 25STCV20108

[TENTATIVE] ORDER SUSTAINING DEFENDANT'S
DEMURRER

Dept. 506

8:30 a.m.

August 11, 2026

On

June 30, 2025, Plaintiff Jerald Keith Simpkins filed this action against Defendant
FCA US LLC arising from Plaintiff's purchase of an allegedly defective vehicle.

On

October 21, 2025, Defendant filed a demurrer to the sixth cause of action for Fraudulent
Inducement – Concealment.

DEMURRER

A

demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.)

A. The Sixth Cause of Action is Not Barred
by the Statute of Limitations.

Defendant

argues that the sixth cause of action is barred by the three-year statute of limitations. (Demurrer at pp. 8-9; see Code Civ. Proc., § 338, subd. (d).)

To

sustain a demurrer on the statute of limitations, the running of the statute must appear clearly and affirmatively on the face of the complaint. (Geneva Towers Ltd. Partnership v. City of San Francisco (2003) 29 Cal.4th 769, 781.)

“[I]t is not enough that the complaint might be time-barred. [Citation.]”

(Ibid.)

Plaintiff

alleges that on March 14, 2022, he entered into a warranty contract with Defendant. (Complaint ¶ 7.) Before Plaintiff purchased the vehicle, Defendant

“was well aware and knew that the Vehicle was defective but failed to disclose this fact to Plaintiff at the time of sale and thereafter.” (Complaint ¶ 18.) Plaintiff was harmed by this concealment “by purchasing a vehicle that Plaintiff would not have leased and/or purchased had Plaintiff known the true facts about the Engine Defect.”

(Complaint ¶ 71.) Accordingly, the

deadline to file an action for fraudulent inducement of that purchase was March 14, 2025, but Plaintiff did not file this action until June 30, 2025.

Plaintiff

alleges that “the running of the limitation periods have been tolled by, inter alia, the following doctrines or rules: equitable tolling, the discovery rule, the fraudulent concealment rules, equitable estoppel, the repair rule, and/or class action tolling (e.g., the American Pipe rule).” (Complaint ¶ 37.)

“The

general rule is that the statute of limitations begins to run when the wrongful act is done, even though the plaintiff is ignorant of his or her cause of action or of the identity of the wrongdoer.” (Snow

v. A. H. Robins Co. (1985) 165 Cal.App.3d 120, 127.) The running of the statute of limitations may

be postponed on certain causes of action until the time of discovery of the facts. (Ibid.) “With respect to actions based on fraud, the statute

of limitations is tolled whenever plaintiff is able to show the defendant fraudulently

concealed facts which would have led him to discover his potential cause of action.” (Id. at pp. 127-128.)

Plaintiff

alleges that he discovered the wrongful conduct “shortly before the filing of the

complaint, as the Vehicle continued to exhibit symptoms of defects following FCA's unsuccessful attempts to repair them." (Complaint

¶ 38.) Plaintiff also alleges that "[d]efects and

nonconformities to warranty manifested themselves within the applicable express warranty period, including but not limited to, engine defects, transmission defects, electrical defects; among other defects and non-conformities," but no dates are alleged. (Complaint ¶ 12.) Thus, it is not clear from the face of the complaint when Plaintiff should have discovered that Defendant fraudulently concealed facts.

The demurrer is overruled on this ground.

B. The Sixth Cause of Action Does Not Allege Fraud with Specificity.

Defendant argues that the fifth cause of action does not allege sufficient facts, including a duty to disclose. (Demurrer at pp. 9-15.)

Fraud based on concealment requires that "(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 310-311.)

An essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (*Id.* at p. 314.) "There are 'four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.'" (*Id.* at p. 311.) "[O]ther than

the first instance, in which there must be a fiduciary relationship between the parties, “the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.” [Citation.]’ [Citation.]” (Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187 (Hoffman).) “Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

Plaintiff alleges that Defendant “was well aware and knew that the Vehicle was defective but failed to disclose this fact to Plaintiff at the time of sale and thereafter.” (Complaint ¶ 18; see Complaint ¶¶ 16-17 [identifying specific defects].) Plaintiff did not know about these defects and problems, and Defendant, who had superior knowledge of the defect, did not disclose the defects when Plaintiff purchased the vehicle. (E.g., Complaint ¶¶ 18-20.) The allegations are specific enough to allege the information that was concealed. (See Jones v. ConocoPhillips Co. (2011) 198 Cal.App.4th 1187, 1199-1200.)

However, Plaintiff does not allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See Hoffman, supra, 228 Cal.App.4th at p. 1187.) Plaintiff alleges only that Defendant “was in a superior position from various internal sources to know (or should have known) the true state of facts about the material defects contained in vehicles equipped with the 5.7L engine.” (Complaint ¶ 67(b).) There are also no facts showing why Defendant’s knowledge was exclusive or that Defendant intended to defraud. Indeed, Plaintiff alleges that there were “early consumer complaints about the Engine Defect,” suggesting that the knowledge was in fact public. (Complaint ¶ 67(a).)

Moreover, in a transaction that does not involve fiduciary or confidential relations, the “transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Bigler-Engler, supra, 7 Cal.App.5th at pp. 311-312.) Plaintiff alleges no such direct

transaction with and direct concealment by Defendant.

The

demurrer is sustained on this ground.

C. The Sixth Cause of Action is Barred by
the Economic Loss Rule.

Defendant

argues that the sixth cause of action is barred by the economic loss rule. (Demurrer at pp. 16-17.)

Under

the economic loss rule, “[w]here a purchaser’s expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only ‘economic’ losses.” (Robinson Helicopter Co., Inc. v. Dana Corp. (2004) 34 Cal.4th 979, 988 (Robinson), quotation marks omitted.) However, tort damages may be permitted when the breach of contract is accompanied by a tort such as fraud. (Id. at pp. 989-990.) To plead around the economic loss rule, a party must plead the existence of a duty that arises independent of any contractual duty and independent injury, other than economic loss, that arises from the breach of that duty. (Id. at pp. 988-991.)

“[U]nder

California law, the economic loss rule does not bar [a claim] for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court” in Robinson, and such claims allege fraudulent conduct that is independent of the alleged warranty breaches. (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843.) The Supreme Court has confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 38.) “A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement.” (Ibid.)

Accordingly,

a properly pleaded claim for fraudulent inducement is not barred by the economic loss rule. Here, however, Plaintiff does

not establish all elements of fraudulent concealment independently of the parties' contractual rights and obligations.

Additionally,

Plaintiff fails to allege any independent duty or harm beyond the terms of the contractual relationship, and only economic damages from breach of warranty are alleged. Plaintiff "was harmed by purchasing a vehicle that Plaintiff would not have leased and/or purchased had Plaintiff known the true facts about the Engine Defect." (Complaint

¶ 71.) This harm is purely economic from the purchase of the vehicle. Plaintiff's

allegation that he "was unknowingly exposed to the risk of liability, accident and injury as a result of Defendant's fraudulent concealment of the Engine Defect."

(Complaint ¶ 71) does not state that Plaintiff in fact was damaged. Unknown risk that does not result in liability or injury by definition is not actual damage.

(Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 202 ["Misrepresentation, even maliciously committed, does not support a cause of action unless the plaintiff suffered consequential damages," concurring opinion]; Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248 ["as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage"].)

Plaintiff's

only alleged harm is the economic harm from the purchase of the vehicle, which was

within the reasonable contemplation of the parties when they entered into the agreement. (See Rattagan, supra, 17 Cal.5th at p.

38.) Accordingly, this cause of action is barred by the economic loss rule.

CONCLUSION

The

demurrer to the sixth cause of action is SUSTAINED.

At

the hearing, Plaintiff should be prepared to explain what additional facts will be pleaded and exactly how any amendments can remedy the deficiencies of the Complaint without making it a sham pleading. The Court will decide at the hearing whether to grant leave to file a First Amended Complaint.

Moving

party to give notice.

Parties

who intend to submit on this tentative must send an email to the Court at indicating intention to submit. If all parties in the case submit on the tentative ruling, no appearances before the Court are required unless a companion hearing (for example, a Case Management Conference) is also on calendar.

Dated this 11th day of August 2026

Hon. Thomas D. Long

Judge of the Superior
Court